All figures in this report are fictional and not representative of any actual company.

Sample QOE Report

Feb, 2025

Quality of Earnings report

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Cover Letter

Dear XXXX,

Caleb PA Basile, LLC t/a QOE Prep (“we,” “our,” or “us”) is pleased to deliver to you the attached Quality of Earnings Report (the “Report”) solely for the information and use of XXXX (the “Client”) in connection with its evaluation of the transaction between the Client and XXXX (the “Parties”).

The Report is based on information provided to us by the Parties, as well as their respective advisors, experts, agents, or representatives, and was prepared in accordance with the scope and limitations agreed upon in our engagement letter with the Client dated XXXX(the “Engagement Letter”).

This report is not an audit, a review of financial statements, or a recommendation on how to proceed. Instead, we have relied solely on the information we have received from the Parties, along with their respective professionals. This report is therefore not intended to, and will not, uncover accounting errors, business irregularities, illegal acts, or any other similar conduct of the target company, including fraud or misappropriations.

Nothing in the Report, this letter, or the Engagement Letter should be construed as investment, legal, accounting, business, or tax advice. In reviewing the Report, the Client should conduct their own independent investigation and due diligence, and seek advice from their professional advisors, experts, agents, and/or representatives.

The Report is for informational purposes only. By this letter, we state clearly that the Report, and any of its contents, conclusions, or representations, are not to be relied upon for any purpose. We disclaim any liability, duty, or obligation, and any review or use of the Report by shall be at such party’s sole risk and without recourse to us. The Client and its management alone may use this report for its information (including the schedules and related materials).

Ultimately, the Client will determine whether, and if so, how to proceed with a transaction. Nothing in this Report is meant to constitute a recommendation of whether, or under what terms, to pursue a transaction with the target company.

By providing this Report, QOE Prep has now completed its obligations under our engagement with you. It has been a pleasure to assist, and we wish to thank you for the opportunity to collaborate with you on this assignment.

Very truly yours,

CALEB BASILE, CPA
caleb@qoeprep.com

1. Key Findings

Key Findings

1 Company Overview

The Company was acquired in 2020 with the purpose of specializing in Fixed Broadband wireless internet service in various locations. The Company is a collection of four internet service providers. The Company is owned by xxxxxxx.

2 EBITDA Addbacks

Please see QE Summary tab for more on the EBITDA Add backs.

3 **Gross Profit and Margin analysis**

The Company had a net revenue of $8.7M in 2022 which decreased to $8.2M in TTM Jan25. The gross margin of the company decreased from 78% to 75% from 2022 to TTM Jan25. Per the seller, some of the main factors that contributed to this decrease were increased operating costs and improvements to network infrastructure. The Company added multiple fiber circuits, dual-homed its networks, and launched a few new sites in 2024. These changes take time to take effect in order to offset COGS.

4 Revenue Streams and Revenue Recognition

"The Company has three streams of revenue, which include customer premise, network access, and miscellaneous revenue. All companies are on accrual basis. Revenue is recognized based on Sonar 'fractional debits' data, meaning revenue from invoices is spread over the period services are rendered. Any credits are reversed from revenue in the period when such credits were raised. Payments collected for future service periods are reflected as a current liability in Customer deposits. Expenses are recognized as incurred. All companies maintain accruals for regular expenses in case vendor bills don't arrive by period-end. Customer premises equipment is capitalized to fixed assets regardless of costs. Customers with over $100 delinquent who have been uncooperative are sent to collections. Billing Agents make significant effort to connect with delinquent customers to adopt payment plans. Figures below $100 are written off. In 2024, the Company switched to reporting revenue and tower costs on a gross basis. This resulted in higher revenue and costs reflected in 2024 compared to what was seen in the past with other accounting practices. According to the seller, this only had an effect of $13K."

5 Average NWC

The NWC for the company has fluctuated over time. The six month average for NWC is ($297K). NWC has decreased over time, largely due to increases in current liabilities. We have determined to not consider cash and cash equivalents, as well as debt-like items, as this is a cash-free and debt-free transaction. We removed accrued interest expenses and settlement payments from current liabilities and removed intercompany activity.

6 Inventory

The Company capitalizes inventory. As of 03/07/2025, it has $764K of inventory among the four sites.

7 AP

Vendor 1 was paid by checks via BILL, but those checks were never cleared by the vendor and were subsequently canceled by BILL. These bills likely will need to be paid at some point. Vendor 2 performed work related to the state fiber grant, which was never fulfilled. This work is subject to being written off.

Key Findings (cont.)

8 Adjusted EBITDA

The company's adjusted EBITDA decreased from 2022 to TTM Jan25 it went from $2.7M to $1.7M. This change was largely driven by a decrease in sales and an increase in COGS as a percentage of sales.

9 Cash Conversion Cycle

The company has a DSO of 0 days, DIO of .5 days, and DPO of 15.9 days, yielding a cash conversion cycle of -15.4 days.

10 Customer and Vendor Concentration risk

The company has over 8K customers; therefore, there isn't any customer concentration risk. The company does not have any Vendors over 10% of expenses. While the company does not have any vendors over 10% of expenses, their leases have been increasing for property rents and towers.

11 Seasonality

The company does not experience any seasonality.

12 Book to Tax

We performed a book to tax reconciliation and found variance of 2% and -6% in the years 2022 and 2023 respectively. 2024 Tax reports were not finished when we asked for them.

13 Proof of Cash

We Performed a Proof of Cash for the years 2022, 2023, and 2024. Some variance were noted on a month to month basis, but net cash activity was reconciled to 0%.

14 Previous Owner

Per seller, 'The previous owner of Company had entered into an employment agreement at the transaction date, which amounted to $6,000 per month in salary, which had not been paid for the first seven months of 2021, along with $2,000 per month of health insurance costs, which the company had missed payments for the 9 months. previous owner did not have any actual working relationship/advisory/employment hours with the company at all at the time of the settlement.

15 Marketing

Marketing increase from 160K to 400K with no increase in revenue. Per seller: "We ramped marketing efforts with multiple iterations of marketing contractors, sale people, and CRMs. It's very difficult to be successful while in constant transition in these areas."

16 Unpaid PTO

The company has $56K of unpaid PTO. This amount is not included in NWC, since it is not on the books.

2. Quality of Earnings

QoE

In $000's	2022	2023	2024	TTM
Total Income	**8,657,602**	**8,295,119**	**8,198,505**	**8,214,951**
Reported EBITDA	**591,637**	**257,942**	**669,809**	**619,882**
Management Adjustments				
2023 Payroll adjustment	-	682,262	-	-
Capitalized Labor	-	454,175	721,317	722,732
One time expense	-	60,000	-	-
Workers Comp	-	-	(10,332)	(7,749)
Previous Owner	-	74,685	113,260	105,102
Total Management Adjustments	**-**	**1,271,122**	**824,244**	**820,085**
Management Adjusted EBITDA	**591,637**	**1,529,064**	**1,494,054**	**1,439,967**
CIM Check				
Due Diligence Adjustments				
Management Fee	2,421,859	493,584	-	-
Expense not on PL	(346,121)	(134,141)	(94,818)	(86,277)
Unused Vacation Payoff	-	-	-	55,000
Non Operating income	-	2,518	(39,120)	(39,318)
Remove Legal Settlement	-	-	285,000	285,000
Total Due Diligence Adjustments	**2,075,738**	**361,961**	**151,062**	**214,404**
Adjusted EBITDA	**2,667,375**	**1,891,025**	**1,645,116**	**1,654,372**
Management EBITDA Margin	***6.8%***	***18.4%***	***18.2%***	***17.5%***
Adjusted EBITDA Margin	***30.8%***	***22.8%***	***20.1%***	***20.1%***

Management Adjustments

2023 Payroll Adjustments -

We recalculated the adjustment to maintain the same percentage of revenue between 2024 and 2023 (41%), before considering capitalized labor. This resulted in an adjustment to EBITDA of $682K, compared to the initial $1,365K.

Capitalized Labor - According to the sellers, capitalized labor represents operating expenses that would otherwise be capitalized.

One time expense - The new owner will no longer be responsible for these payments, as confirmed by buyer.

Workers Comp - Per seller, "Workers comp expense that should have been recorded on the operating companies that was originally expensed to the inactive holding company"

Previous Owner - XXXXX does not have an active role in the management or operations of the businesses.

QoE

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Due Diligence Adjustments

Management Fee - We have removed the fees paid to PE Company , as these will no longer be incurred moving forward.

Expense not on PL- We have included expenses incurred by Company 2, which were previously kept on the Separate profit and loss statement.

Unused Vacation Payoff - We have added back the unused vacation payoff for former GM as this is a non-recurring expense.

Non Operating income - We have removed non-operating income from the business.

Remove Legal Settlement - We removed the settlement paid to Previous owner. According to the seller, "The entities had a few leases with former owner and certain disputes arose out of those leases. Previous owner sued the companies and the matter was eventually settled for $285k - $85,500 up front and the remainder over 4 years."

Ongoing repairs that are capitalized - According to discussions between Buyer and the GMs, approximately $700K in repairs and upgrades will be capitalized. It is worth noting that these upgrades will not allow the company to charge clients more, but they are necessary to retain clients and prevent attrition.

3. P&L Overview

Annual Adjusted P&L

USD	2022	2023	2024	TTM Jan 2025	2022	2023	2024	TTM Jan 2025
Revenue	**8,657,602**	**8,295,119**	**8,198,505**	**8,214,951**	**100%**	**100%**	**100%**	**100%**
COGS	(1,892,568)	(1,688,918)	(2,036,003)	(2,034,929)	-22%	-20%	-25%	-25%
Gross profit	**6,765,035**	**6,606,201**	**6,162,502**	**6,180,022**	**78%**	**80%**	**75%**	**75%**
Salaries, Wages & Benefits	(3,502,501)	(2,886,014)	(2,540,524)	(2,550,945)	-40%	-35%	-31%	-31%
Advertising & Marketing	(90,607)	(85,973)	(338,692)	(348,501)	-1%	-1%	-4%	-4%
Management Fee	(430,823)	(510,730)	(310,656)	(306,541)	-5%	-6%	-4%	-4%
Other Expenses	(61,106)	(56,676)	(52,083)	(51,347)	-1%	-1%	-1%	-1%
Travel, Meals & Entertainment	(260,543)	(240,233)	(250,673)	(257,553)	-3%	-3%	-3%	-3%
Rent & Lease	(166,905)	(247,326)	(222,250)	(221,387)	-2%	-3%	-3%	-3%
Other SG&A	(109,847)	(160,235)	(222,790)	(210,786)	-1%	-2%	-3%	-3%
Professional & Service Fees	(149,714)	(185,416)	(165,782)	(161,072)	-2%	-2%	-2%	-2%
Computer & IT	(97,824)	(86,692)	(117,641)	(120,176)	-1%	-1%	-1%	-1%
Consultants	(6,136)	(59,279)	(109,620)	(113,397)	0%	-1%	-1%	-1%
Licenses, Permits & Insurance	(54,101)	(101,749)	(103,858)	(104,190)	-1%	-1%	-1%	-1%
Supplies, Utilities & Repairs	(114,332)	(91,732)	(79,811)	(76,517)	-1%	-1%	-1%	-1%
Bad Debt	-	(140)	(2,399)	(2,920)	0%	0%	0%	0%
Dues & Subscriptions	(1,507)	(2,980)	(609)	(317)	0%	0%	0%	0%
Capitalized Labor	949,487	-	-	-	11%	0%	0%	0%
Contributions	(1,200)	-	-	-	0%	0%	0%	0%
Other Income	-	(0)	0	0	0%	0%	0%	0%
EBITDA	**2,667,375**	**1,891,025**	**1,645,116**	**1,654,372**	**31%**	**23%**	**20%**	**20%**
D&A	(1,186,708)	(1,637,172)	(1,797,650)	(1,733,707)	-14%	-20%	-22%	-21%
EBIT	**1,480,667**	**253,853**	**(152,534)**	**(79,336)**	**17%**	**3%**	**-2%**	**-1%**
Interest	(913,446)	(1,290,771)	(1,481,912)	(1,490,683)	-11%	-16%	-18%	-18%
Profit before tax	**567,221**	**(1,036,918)**	**(1,634,445)**	**(1,570,019)**	**7%**	**-13%**	**-20%**	**-19%**
Income taxes	-	-	-	-	0%	0%	0%	0%

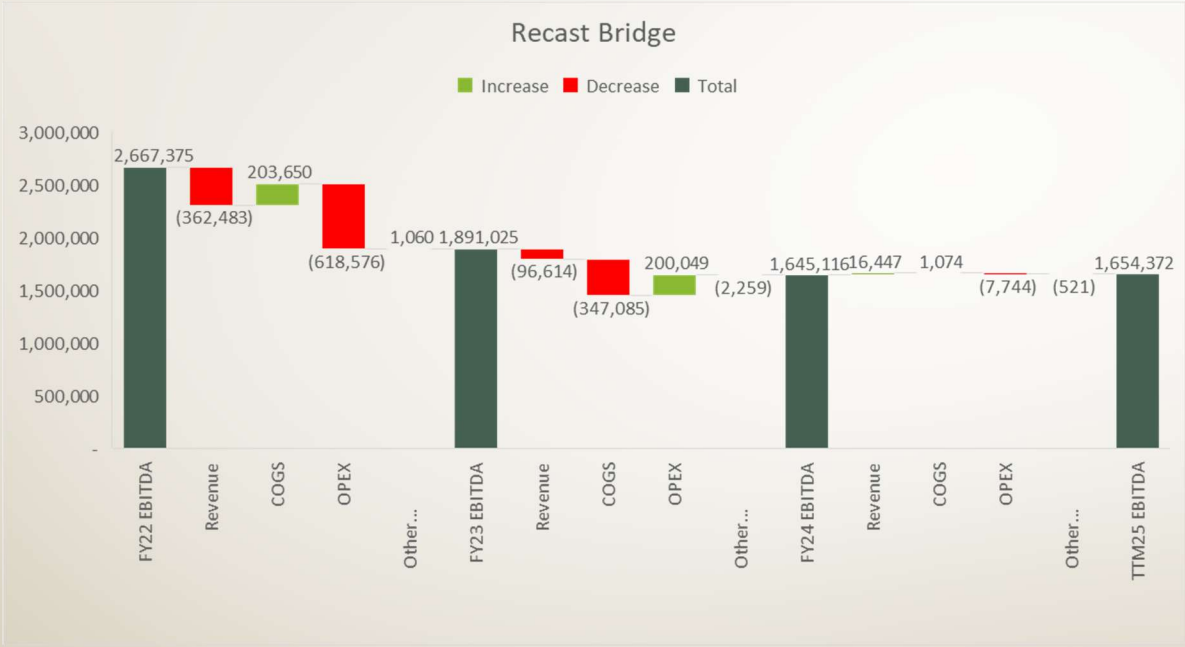
The financials show a company struggling with profitability despite relatively stable revenues. Revenue has hovered around $8.2M–$8.6M, but gross margins have decreased from 80% to 75%, indicating rising COGS or pricing pressure.

EBITDA has declined sharply from 31% in 2022 to 20% TTM Jan 2025, reflecting both operational inefficiencies and cost creep in certain areas. Notably, payroll expenses were significantly reduced early on but have since stabilized.

Spending on advertising and consultants has increased substantially, but these investments have yet to translate into improved financial outcomes.

Overall, the business is caught between stagnant top-line growth and rising costs, especially debt servicing, making a turnaround dependent on either revenue growth or capital restructuring.

Recast EBITDA Bridge



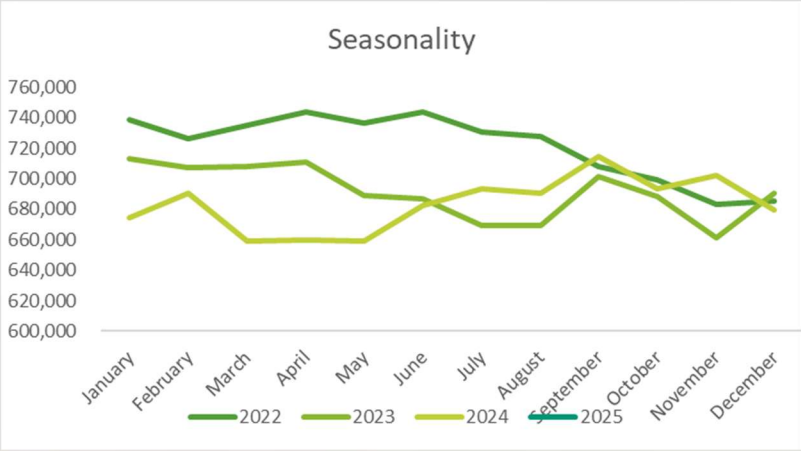
Biggest EBITDA drop was from FY22 to FY23, mainly due to a $619K OPEX increase and $362K revenue decline.

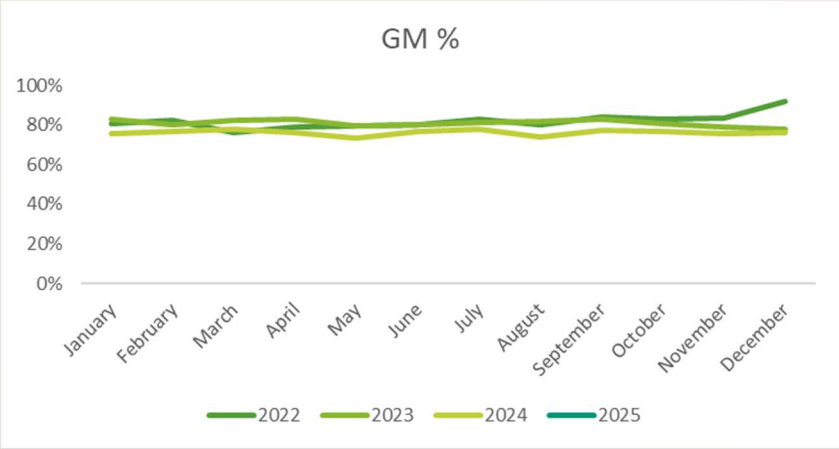
FY23 to FY24 stabilized with EBITDA falling slightly as cost controls began to offset revenue and COGS increases.

TTM Jan 2025 EBITDA flat, showing no major gains or losses, but also no margin improvement.

4. Revenue Trends

Revenue Trends





Q1	Q2	Q3	Q4
25%	26%	25%	24%
26%	25%	25%	25%
25%	24%	26%	25%

- The Company does not experience much seasonality.
- Quarterly income is relatively flat.

5. Cogs Analysis

Vendor Analysis

2022	2023	2024	TTM Jan 2025	2022	2023	2024	TTM Jan 202
Top ten							
5,797,917	8,512,565	8,287,589	8,231,319	*56%*	*78%*	*76%*	*76%*
10,288,717	**10,965,632**	**10,847,376**	**10,858,779**	*100%*	*100%*	*100%*	*100%*
1,723,621	2,734,296	2,757,483	2,776,455	*17%*	*25%*	*25%*	*26%*
1,603,843	2,130,850	1,899,855	1,868,639	*16%*	*19%*	*18%*	*17%*
274,109	1,060,988	1,194,772	1,215,905	*3%*	*10%*	*11%*	*11%*
1,530,258	1,734,718	1,171,725	1,138,270	*15%*	*16%*	*11%*	*10%*
11,883	-	285,000	285,000	*0%*	*0%*	*3%*	*3%*
106,025	289,232	237,734	235,359	*1%*	*3%*	*2%*	*2%*
219,182	165,468	216,725	207,519	*2%*	*2%*	*2%*	*2%*
136,807	189,042	195,509	195,358	*1%*	*2%*	*2%*	*2%*
-	5,657	195,505	181,423	*0%*	*0%*	*2%*	*2%*
192,188	202,315	133,282	127,391	*2%*	*2%*	*1%*	*1%*

The company's top ten vendors account for 76% of total expenses, primarily driven by leases, supplies, and materials.

6. BS Analysis

Reported BS

USD	Dec-22	Dec-23	Dec-24	Jan-25
Current Assets:				
Cash	1,462,274	383,036	250,202	175,115
Accounts Receivable, net	390,440	756,224	1,625,162	1,651,597
Inventories	-	91	10,307	10,307
Prepaid Expenses	26,115	40,965	52,430	61,701
Other current assets	9,367,815	9,575,736	8,394,784	8,394,784
Total Current Assets	11,246,644	10,756,054	10,332,885	10,293,503
Non-current assets:				
Property plant and equipment, net	3,281,587	2,797,048	2,336,239	2,275,837
Other non-current assets	4,877,281	4,876,948	4,876,614	4,876,586
Total non-current assets	8,158,867	7,673,996	7,212,853	7,152,424
Total Assets	19,405,511	18,430,049	17,545,738	17,445,927
Current liabilities:				
	-	-	-	-
Credit Cards Payable	32,723	62,408	50,295	52,455
Accounts Payable	370,936	1,925,201	2,722,423	2,776,217
Payroll Liabilities	82,195	133,529	181,166	231,246
Other current liabilities	4,238,304	4,053,777	3,697,636	3,667,067
Total current liabilities	4,724,158	6,174,915	6,651,520	6,726,985
Term debt	-	-	-	-
Other Non-Current Liabilities	639,943	473,365	300,000	274,945
Long-Term Debt	14,787,512	15,197,462	16,619,662	16,712,033
Total non-current liabilities	15,427,455	15,670,827	16,919,662	16,986,978
Total liabilities	20,151,613	21,845,742	23,571,183	23,713,963
Shareholders' equity:				
Paid-in Capital	(129,080)	(129,080)	(129,080)	(129,080)
Capital Stock	758,539	758,539	758,539	758,539
Retained earnings	132,957	(1,375,150)	(4,045,151)	(6,654,903)
Net income	(1,508,517)	(2,670,001)	(2,609,752)	(242,592)
Total shareholder's equity	(746,102)	(3,415,692)	(6,025,444)	(6,268,036)
Total liabilities and shareholders' equity	19,405,511	18,430,049	17,545,738	17,445,927

Cash & Equivalents declined sharply from $1.37M in Dec-22 to just $239K in Jan-25

Accounts Receivable grew significantly from $706K to $1.58M, this is due to intercompany Accounts Receivable.

Inventory levels remained relatively steady, ranging from $327K to $404K, showing consistent material flow.

Accounts Payable increased from $1.06M to $1.79M, this is due to intercompany Accounts Payable.

Accrued Expenses nearly doubled, rising from $465K to $937K.

Shareholders' Equity became increasingly negative, from $(1.36M) to $(4.08M).

Net Working Capital

	FY24	TTM24	T6M AVG	T3M AVG
Cash	-	-	-	-
Accounts Receivable, net	137,926	158,156	217,375	304,610
Inventories	1,794	2,645	5,199	10,307
Prepaid Expenses	39,750	41,552	46,553	54,679
Other Current Assets	18,329	18,329	18,329	18,329
Credit Cards Payable	(73,350)	(72,075)	(60,411)	(50,155)
Accounts Payable	(84,120)	(89,882)	(103,265)	(139,806)
Payroll Liabilities	(176,593)	(177,984)	(196,122)	(193,866)
Other Current Liabilities	(166,560)	(174,255)	(224,658)	(325,239)
Adjusted NWC	(302,824)	(293,514)	(297,000)	(321,142)

The NWC for the company has fluctuated over time. The six month average for NWC is ($297K). NWC has decreased over time, largely due to increases in current liabilities. We have determined to not consider cash and cash equivalents, as well as debt-like items, as this is a cash-free and debt-free transaction. We removed accrued interest expenses and settlement payments from current liabilities and removed intercompany activity.

Cash Conversion Cycle

Cash Conversion Cycle													
In days	Feb-24	Mar-24	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Avg
AR - Adjusted	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Revenue - Adjusted	690,614	658,755	660,138	659,398	682,777	693,074	690,179	714,615	693,078	702,067	679,722	690,535	684,579
Days	30	30	30	30	30	30	30	30	30	30	30	30	30
DSO TTM25	-	-	-	-	-	-	-	-	-	-	-	-	-
Inventory	91	91	91	91	91	91	91	91	91	10,307	10,307	10,307	2,645
COGS	170,068	153,561	166,577	183,521	168,513	163,325	188,823	150,716	168,429	180,044	169,626	171,727	169,577
Days	30	30	30	30	30	30	30	30	30	30	30	30	30
DIO TTM25	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*1.7*	*1.8*	*1.8*	*0.5*
DPO													
AP - Adjusted	72,891	83,176	51,009	101,359	87,155	63,399	63,114	52,097	84,961	115,458	156,183	147,777	89,882
COGS - Adjusted	170,068	153,561	166,577	183,521	168,513	163,325	188,823	150,716	168,429	180,044	169,626	171,727	169,577
Days	30	30	30	30	30	30	30	30	30	30	30	30	30
DPO TTM25	*12.9*	*16.2*	*9.2*	*16.6*	*15.5*	*11.6*	*10.0*	*10.4*	*15.1*	*19.2*	*27.6*	*25.8*	*15.9*
Cash conversion cycle													
TTM25	*(12.8)*	*(16.2)*	*(9.2)*	*(16.6)*	*(15.5)*	*(11.6)*	*(10.0)*	*(10.4)*	*(15.1)*	*(17.5)*	*(25.8)*	*(24.0)*	*(15.4)*

The company has a DSO of 0 days, DIO of .5 days, and DPO of 15.9 days, yielding a cash conversion cycle of -15.4 days.

7. Reconciliations

Proof of Cash

USD	Mar-22	Apr-22	May-22	Jun-22	Jul-22	Aug-22	Sep-22	Oct-22	Nov-22	Dec-22	Jan-23	Feb-23	Total
Bank Revenue													
Live Oak - Bank Deposits	75,137	138	175	25,240	75,371	518	523	154	100,289	25,470	50,629	75,665	1,343,128
PNC Bank - Bank Deposits	525,259	550,651	637,241	469,559	788,829	649,309	730,228	736,629	658,910	675,916	670,095	573,622	7,666,248
Total Deposits:	**600,396**	**550,789**	**637,416**	**494,799**	**864,200**	**649,827**	**730,751**	**736,784**	**759,199**	**701,386**	**720,723**	**649,287**	**8,095,557**
Change in accounts receivable	77,823	52,775	(137,430)	197,830	(33,973)	(57,687)	102,792	2,598	(93,654)	132,960	(98,579)	(35,970)	109,485
Change in customer deposits	(60,138)	135,000	-	1,856	-	1,094	(2,950)	-	-	(41,500)	-	(0)	33,362
Less: Cash Received for ERTC	-	-	-	-	(127,002)	-	-	-	1,009	-	-	-	(125,993)
Less: Transfers from PNC to Live Oak	(75,000)	(25,000)	-	-	(75,000)	-	-	-	(100,000)	(25,000)	(50,000)	(75,000)	(425,000)
Less: other tranfers	(9,500)	(3,000)		(38,000)	(16,000)		(9,000)	(6,500)	(45,000)	(99,000)	(25,000)	(2,000)	(253,000)
Less: Transfers from Live Oak to PNC	(20,000)	-	-	-	(25,000)	-	(200,000)	(100,000)	-	-			(345,000)
Change in outstanding deposits	56,633	(27,056)	(29,577)	64,379	(54,571)	24,358	(6,552)	(24,070)	(3,204)	(48)	18,372	(18,664)	-
Total Net Sales Related Deposits	**570,214**	**683,508**	**470,409**	**720,864**	**532,654**	**617,591**	**615,041**	**608,812**	**518,350**	**668,798**	**565,517**	**517,653**	**7,089,411**
Book Revenue	**570,151**	**683,155**	**470,711**	**720,247**	**532,574**	**615,325**	**614,861**	**608,795**	**518,257**	**668,401**	**564,559**	**517,344**	**7,084,382**
Variance	*63*	*353*	*(302)*	*617*	*80*	*2,266*	*180*	*16*	*93*	*396*	*957*	*309*	*5,029*
Variance as a % of net sales	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*
Bank Expenses													
Live Oak - Bank Disbursements	20,000	-	-	-	25,000	-	200,000	100,000	-	-	-	-	345,000
PNC Bank - Bank Disbursements	512,986	538,050	600,048	584,473	572,753	841,242	551,364	753,785	786,451	693,541	474,950	614,966	7,524,608
Total Bank Disbursements	**532,986**	**538,050**	**600,048**	**584,473**	**597,753**	**841,242**	**751,364**	**853,785**	**786,451**	**693,541**	**474,950**	**614,966**	**7,869,608**
Less: Purchases of Fixed Assets	(10,895)	-	(39,888)	18,075	(71,164)	(13,500)	(29,154)	(1,722)	-	30,721	(57,622)	(7,976)	(183,126)
Less: Transfers	(104,500)	(28,000)	-	(38,000)	(116,000)	-	(209,000)	(106,500)	(145,000)	(124,000)	(75,000)	(77,000)	(1,023,000)
Less: Owner Draws	-	-	-	(30,426)	-	(35,170)	(200,000)	(100,000)	-	(94,083)	-	-	(459,679)
Change in outstanding checks	105,609	(49,889)	(86,692)	(5,055)	(1,802)	(13,491)	220,675	(124,759)	(91,752)	25,366	33,299	15,976	27,486
Change in accounts payable	**77,477**	**(14,613)**	**(31,433)**	**226,174**	**41,945**	**(265,564)**	**124,881**	**(46,640)**	**(87,490)**	**(2,069)**	**46,879**	**(22,711)**	46,837
Change in prepaid expenses and deposits	**-**	**(504)**	**504**	**-**	**(23,825)**	**-**	**-**	**(11,903)**	**(210)**	**28,615**	**-**	**-**	(7,323)
Change in inventory assets	**(72,532)**	**56,537**	**(14,097)**	**(146,144)**	**42,096**	**27,590**	**(77,689)**	**54,071**	**(9,542)**	**45,295**	**53,321**	**(23,688)**	(64,783)
Change in payroll liabilities	(5,136)	(10,594)	11,737	(944)	346	657	(32,869)	27,062	141	(27,203)	41,876	(13,564)	(8,492)
Add: Depreciation	-	-	-	-	-	-	-	-	-	127,972	-	-	127,972
Total Expense Related Bank Disbursements	**523,009**	**490,987**	**440,179**	**608,154**	**469,348**	**541,763**	**548,208**	**543,394**	**452,597**	**704,155**	**517,703**	**486,002**	**6,325,500**
Cost of Goods Sold	**372,736**	**393,464**	**304,411**	**473,305**	**334,267**	**408,931**	**403,669**	**391,368**	**364,217**	**447,580**	**374,001**	**345,359**	4,613,307
Operating Expenses	**150,925**	**104,868**	**137,286**	**134,142**	**121,207**	**132,469**	**147,074**	**151,087**	**88,108**	**130,223**	**145,119**	**135,550**	1,578,058
Non-Operating Income and Expenses	**(137)**	**(138)**	**(175)**	**(16,240)**	**(371)**	**(518)**	**-**	**(678)**	**(1,009)**	**126,213**	**(629)**	**-**	106,319
Reported Expenses	**523,523**	**498,193**	**441,522**	**591,207**	**455,103**	**540,882**	**550,744**	**541,777**	**451,316**	**704,016**	**518,491**	**480,909**	**6,297,684**
Variance	*(514)*	*(7,207)*	*(1,343)*	*16,947*	*14,246*	*881*	*(2,536)*	*1,617*	*1,281*	*138*	*(788)*	*5,093*	*27,816*
Variance %	*0%*	*-1%*	*0%*	*3%*	*3%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*1%*	*0%*
Net reconciled deposits and disbursements	47,205	192,522	30,230	112,710	63,306	75,828	66,833	65,417	65,754	(35,357)	47,814	31,651	763,911
Reported Net Income	46,628	184,962	29,189	129,039	77,471	74,443	64,117	67,018	66,941	(35,615)	46,069	36,435	786,697
Net variance	*577*	*7,560*	*1,041*	*(16,329)*	*(14,166)*	*1,384*	*2,716*	*(1,601)*	*(1,187)*	*258*	*1,745*	*(4,784)*	*(22,787)*
Net variance as a % of net sales	*0%*	*1%*	*0%*	*-2%*	*-3%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*-1%*	*0%*

*Proof of Cash Sample from other report.

We performed a proof of cash for TTM23. Some variances were noted on a month-to-month basis, but net cash activity was reconciled to 0% to TTM23.

Tax Tie Out Summary

	2022	2023
Net Income Per Books	**(389,326)**	**(417,189)**
Net earnings loss from self employment	(856,590)	
Capitalized Wage expense	295,671	
Depreciation		134,483
Unsettled management fees		279,097
Amortization		(96,089)
Taxable Income Per Books:	**(950,245)**	**(99,698)**
Reported on 1065	(951,767)	(99,695)
Variance	**1,522**	**(3)**
Variance as % of Net Income	*0%*	*0%*

We performed a book to tax reconciliation and found variance of 0% in the years 2022 and 2023 respectively. 2024 Tax reports were not finished when we asked for them.

Payroll Tie Out

Employee	Salary
Partner 1	300,000
Partner 2	250,000
Manager 1	175,000
Manager 2	175,000
Manager 3	175,000
Manager 4	175,000
Manager 5	175,000
Senior accountant 1	120,000
Senior accountant 2	120,000
Senior accountant 3	120,000
Senior accountant 4	120,000
Senior accountant 5	120,000
Senior accountant 6	120,000
Staff Accountant 1	85,000
Staff Accountant 2	85,000
Staff Accountant 3	85,000
Staff Accountant 4	85,000
Staff Accountant 5	85,000
Staff Accountant 6	85,000
Staff Accountant 7	85,000
Staff Accountant 8	85,000
Staff Accountant 9	80,000
Staff Accountant 10	80,000
Staff Accountant 11	80,000
Staff Accountant 12	80,000
Staff Accountant 13	80,000
Staff Accountant 14	60,000
Staff Accountant 15	60,000
Grand Total	**3,345,000**
Total Wages Per PL	**3,345,000**
Variance	-
Variance as % of Wages	0%

*Payroll Tie out Sample from other report.

Note: To calculate variances, the salaries and wages reported on the Company's books are reconciled to payroll reports.

Thank you for choosing to work with QOE Prep. If you have any questions about this report please don’t hesitate to contact Caleb@qoeprep.com